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‘Keep Your Ear Close to the Ground’

The Reserve Bank’s Outreach

When I went to call on Prime Minister Manmohan Singh in his South Block office before assuming office as governor in September 2008, the meeting lasted just about fifteen minutes. As I stood up to leave, he graciously walked me to the door, and literally at the doorstop, gave his bit of advice: ‘Subbarao, you are moving from long experience in the IAS to the Reserve Bank. That’s a big change. Unlike in the civil service, in the Reserve Bank you risk losing touch with reality. Your mind will be so full of numbers like inflation, interest rate and credit growth that you will tend to forget how all this matters to people and their livelihoods. Remember to keep your ear close to the ground.’

Tribal Indebtedness

I could relate very much to that advice. Let me give just one example to explain why.

I have already written about how tribal welfare dominated my job chart in my first posting as subcollector of Parvathipuram division in north coastal Andhra Pradesh in the mid-1970s. The tribal people there suffered from a chronic curse of indebtedness. It was far from uncommon for them to lose what little assets they had to moneylenders and then end up as bonded labour.

How households living at a subsistence level end up in a debt trap is easy enough to understand at a conceptual level. But why tribal people should suffer this misery was initially a mystery to me. The reason is that since